

Suitability Report

[REDACTED] n

Date: 14/10/2025

[REDACTED] nd DipPFS Cert CII
Independent Financial Adviser

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Recommendation Summary

Recommendations 	- Switch your Aviva pension into a new advised Aviva pension - £3,744.36 - Switch your Zurich pension into a new advised Aviva pension - £103,439.24 - Switch your Standard Life pension into a new advised Aviva pension - £3,002 - Retain your people's pension plan - £6,601.55 - Encash your Scottish Widows pension plan – £211.32
Investments 	CT Universal Map Balanced – 50% HSBC Global Strategy Balanced Portfolio – 50%
Attitude to Risk 	5 – Balanced

My Recommendation

You have been provided with a copy of our **Client Agreement** and **Important Information about our Investment, Protection and Pension Services**. These are important documents that contain further information about the type of advice I can provide and set out the basis on which my company conducts business with you.

The basis of my advice

Following a recent review of your financial affairs we identified certain needs and objectives as detailed below. This report is designed to explain how and why my recommendations can help meet these needs and objectives - whilst at the same time highlighting any potential disadvantages and risks, as well as any other implications in terms of costs, charges and taxation.

My advice provided to you is based upon the information you have disclosed and therefore if this letter does not coincide with your view of the situation, or you require any further clarification, please contact me immediately. It is important to emphasise any information in relation to your circumstances that has not been disclosed could have affected my advice to you.

Your current situation

You are currently aged 69 and married to ■■■, aged 65. You are both in good health and have three grown-up children, all of whom are financially independent. You work full-time as an HGV driver through an agency, typically earning around £300 per week net, with additional income of £20 per week from your volunteer role with the Sea Cadets. ■■■h earns approximately £1,100 per month net. You are in receipt of your full State Pension of £230 per week, and ■■■h will receive her full State Pension of around £230 per week when she reaches State Pension age. You expect to retire within the next two years, while K■■■ intends to continue working until she reaches 66, at which point she plans to retire fully.

Your current household expenditure is approximately £1,700 per month, covering rent, utilities, food, transport, entertainment, and insurance. You hold savings of around £6,000 and have no outstanding liabilities, providing a secure financial base. You also hold several pension arrangements with a combined value of approximately £110,000, which form the basis of your retirement provision. You have contacted me to review your position for retirement, seeking guidance on consolidating your pensions and ensuring your income and assets meet your future needs.

You have confirmed that you retain sufficient liquid capital to cover any unexpected emergencies, giving you reassurance as you progress with your retirement planning.

Assets & Liabilities

Assets	Value
Cash	£6,000
NET Asset Value	£6,000

Inheritance Tax Summary

We each have a Nil Rate Band (NRB) of £325,000 and, if your property is passed to direct descendants, a Main Residence Nil Rate Band (RNRB) of £175,000. Any unused NRB can be transferred to a surviving spouse or civil partner, meaning up to £1 million can be passed on tax-free on second death.

Historically, pensions have not formed part of your estate for IHT purposes, making them a valuable estate planning tool. However, legislation has now been passed to change this.

From 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits. Executors will be responsible for declaring pension values as part of the IHT return and may use new options for settling any tax due directly from pension funds.

Currently, your Inheritance Tax liability will be £0. We will continue to monitor your IHT position at our future reviews.

Your Objectives

We reviewed your needs, objectives and time horizons and agreed the following:

- You want to ensure you can continue to afford your lifestyle through your lifetime.
- You want to retire in 2 years time with a household income of £1,700 net per month.
- You would like a clearer understanding of your pension arrangements and to ensure they are appropriately structured for your retirement. You also prefer a more streamlined approach to managing your pensions, rather than maintaining five separate plans with different providers.

Attitude to Risk & Capacity for loss

Your attitude to risk

You completed an Attitude to Risk questionnaire. We felt that this didn't fully reflect your risk appetite. We agreed that you are a risk rating 5 rather than a 4 as per the questionnaire. You are happy to proceed with a Risk rating of 5.

You confirmed that you wish to increase your Risk rating to 5— Balanced investor, you are aware that this is higher than your agreed risk rating and are happy to take on this risk with your pension. You have confirmed that you are not reliant upon your pension funds and wish for them to have the best growth potential over a 10-year period and feel a balanced approach to this investment would achieve this goal. You are aware that your funds may go up as well as down, and the higher risk you take with your funds, potential there is for larger drops in value.

As a Balanced investor, you do not see yourself as a particularly cautious person and have no strong positive or negative associations with the notion of taking risk. If you have some experience in investments and a degree of understanding of financial matters, then you may be suited to a Balanced approach to investing. You may also be suited to this approach if you make investment decisions reasonably quickly and don't tend to be particularly anxious about those decisions. As a Balanced investor, you can be inclined to look for a combination of investments with differing levels of risk and understand that you may need to take some risk to meet your investment goals.

It is important to continually review your risk profile moving forward to ensure that this level of risk remains in line with your personal attitudes, and as such I will keep this under review in line with our ongoing review meetings.

Capacity for loss

■, you are aware that investment values can rise as well as fall, and although your experience is limited to your workplace pension arrangements, you understand that returns are not guaranteed. You confirmed that any potential underperformance would not have a detrimental impact on your day-to-day living. You are in receipt of a full State Pension of approximately £230 per week, continue to work as an HGV driver earning around £300 per week net, and receive an additional £20 per week from your role with the Sea Cadets. ■ contributes a further £1,100 per month from her employment and will also receive a full State Pension of around £230 per week at State Pension age. Your combined income comfortably meets your household expenditure of approximately £1,700 per month, you hold savings of around £6,000, and have no outstanding liabilities. You also hold pension funds totalling approximately £106,000, which form the basis of your retirement provision. We therefore agreed that you have a medium capacity for loss, consistent with your agreed Attitude to Risk level of 5, and appropriate to your current aims and objectives.

Knowledge & Experience

You confirmed that you have previously taken out cash savings products but have not taken out a stocks & shares investment by yourself. You have however held your group pensions for some time and feel that you are comfortable with how investments work and have a reasonable understanding of potential risks & rewards.

Existing Arrangements

Provider/Scheme	People's Pension – 6197175/PP	Scottish Widows – ZU4225575	Aviva – SP50163762	Zurich – P10026-719-001/DL	Standard Life – D2301334000
Fund Value	£6,601.55	£211.32	£3,744.36	£103,439.24	£3,002
Transfer Value	£6,601.55	£211.32	£3,744.36	£103,439.24	£3,002
Contributions	You pay: £1,193.33 PA Employer pays: £897.13 PA	£0	£0	£0	£0
Safeguarded Features incl. TFC/GARs/MIG	This pension arrangement does not contain any safeguarded benefits	This pension arrangement does not contain any safeguarded benefits	This pension arrangement does not contain any safeguarded benefits	This pension arrangement does not contain any safeguarded benefits	This pension arrangement does not contain any safeguarded benefits
Charges	0.50% fund and £4.50 annual admin charge	0.19% fund and 0.10% platform	0.50% fund charge	0.18% fund. £2.12 per month admin charge	0.52% fund charge
Investment Funds	Global Investments (up to 85% shares)	SW Pension Portfolio Four CS1 & SW Pension Portfolio Three CS1	Aviva pension my future focus consolidation	Managed AP	SL at retirement universal (PP 10 year) pension fund
Risk Level	9	4	2	7	4 (Standard life rated)
Penalties/Cost of exit/Switching	No charges for transfer and/or switching	No charges for transfer and/or switching	No charges for transfer and/or switching	No charges for transfer and/or switching	No charges for transfer and/or switching
Retirement Options	FAD, Full and partial UFPLS	Full and partial UFPLS	FAD, Full and partial UFPLS	Full and partial UFPLS	FAD
Number of funds available	7	29	80+	60+	300
Allows Servicing Adviser	No	No	No	No	Yes
Other Considerations	Current workplace scheme	Retain and Encash			

My Recommendation

Following your request, we have now completed a full assessment of the options available to you. My recommendation accounts for several important factors including your answers to our Attitude to Risk Questionnaire and an analysis of the available options.

When carrying out this review I conducted a full review of your existing pension scheme in relation to the charges, investment performance, accessible fund range, and retirement options available. This helps to understand the competitive nature of each pension scheme. Once this information was analysed, I then compared each pension scheme against the most suitable alternative option from the following:

- Option 1 - Leave the existing pension scheme untouched
- Option 2 - Leave the existing pension scheme in place and switch investment funds
- Option 3 - Switch the existing pension scheme into another existing pension arrangement
- Option 4 - Switch your existing schemes into your employer's pension arrangement
- Option 5 - Set up a new pension plan to move your existing pension schemes into

EXISTING SCHEME	ADVICE
People's Pension – 6197175/PP	Retain

- This is your current workplace scheme, and you and your employer are still contributing to this and will continue to until your retirement.
- If you were to transfer away, you would miss out on the valuable benefit of your employer's contributions.
- I do not recommend that you consolidate into this plan as the funds do not meet your risk profile, and the plan itself is 0.06% more expensive than the recommended solution. Plus, they have a £4.50 annual admin charge.
- There are alternative funds available within the plan; however, there are no Multi-Asset funds and only a limited range of other options. Your current fund has performed well and is delivering a strong return. You should consider switching your investments to better align with your risk rating by moving into the Global Investments (up to 60% shares) fund. This fund has not performed as strongly as your current selection, but is less volatile and aligns with your risk appetite.

EXISTING SCHEME	ADVICE
Scottish Widows – ZU4225575	Encash

- I do not recommend that you consolidate into this plan as the funds do not meet your risk profile; Currently, Scottish Widows does not offer a single multi-asset fund that aligns with your risk rating of 5. To achieve this level of risk, we would need to combine two funds. One of which is entirely invested in money market (cash) holdings. This would effectively leave around 20–30% of your portfolio out of the market. Our goal is to ensure that your entire investment is working for you, so we want to find a solution that keeps 100% of your funds invested in the market.
- I also do not recommend you invest in this plan as it does not allow adviser management, which you would like to benefit from to ensure you are on the right track for retirement.
- If you were to transfer all your pensions into this plan, it would limit how you can withdraw funds. In the future, this would be important to you, as you would be unable to access this pension flexibly.
- I would recommend you withdraw the full amount of this pension under the small pots rules and put the money into your savings account. This would not detract from your financial retirement plan. Under the small pot rules, a £200 pension fund withdrawal would be taxed with 25% taken as tax-free cash and the remaining 75% taxed as income at your marginal tax rate. We estimate you would receive £170 net. If you were to leave this pot to grow until you retire, you could potentially take the full amount within your personal allowance, meaning no tax would be due.

EXISTING SCHEME	ADVICE
Aviva – SP50163762	Switch to Aviva Platform

Following a detailed review of your current pension arrangement, I recommend switching to a new scheme that better aligns with your financial objectives and long-term retirement planning. This switch is in your best interests for the following reasons:

- **Lower Costs** – The receiving scheme has a lower overall cost structure compared to your existing pension, meaning more of your savings remain invested for growth rather than being lost to charges. The plan itself is 0.06% more expensive than the recommended solution
- **Lifestyling** – Your funds are currently invested in lifestyling funds, which automatically reduce investment risk as you approach retirement. As a result, your portfolio will eventually move outside of your agreed risk range. We would not recommend remaining invested in these types of funds.
- **Greater Investment Choice** – The new scheme offers access to a wider range of investment options, allowing for a more tailored investment strategy that better suits your risk profile and retirement goals, and allowing greater choice should your risk profile change in the future.
- **Adviser Charging Facilitation** – The new scheme allows adviser charges to be deducted directly, ensuring ongoing financial planning support without the need for separate payments. This makes it easier to manage your retirement strategy effectively.
- **Ongoing Monitoring and Adjustments** – By moving to the recommended scheme, I will have the ability to actively monitor and adjust your investments as required, helping to ensure they remain aligned with your changing needs and market conditions.

By switching to this scheme, you will benefit from lower costs, greater investment flexibility, and continued professional oversight, ensuring your pension remains on track to support your long-term financial goals.

EXISTING SCHEME	ADVICE
Zurich – P10026-719-001/DL	Switch to Aviva Platform

Following a detailed review of your current pension arrangement, I recommend switching to a new scheme that better aligns with your financial objectives and long-term retirement planning. This switch is in your best interests for the following reasons:

- **Greater Investment Choice** – The new scheme offers access to a wider range of investment options, allowing for a more tailored investment strategy that better suits your risk profile and retirement goals, and allowing greater choice should your risk profile change in the future.
- **Multi-asset fund selection** - Zurich does not offer risk level 5 funds, so to achieve this profile, a blend of a risk level 7 and a risk level 2 fund has been used. As there are no multi-asset funds available within your risk range, the blend consists of the Managed AP fund (in which you are already invested) and an asset-specific fund, Interest Deposits. We would not recommend investing in single asset types, as this reduces diversification, and the blended funds have not performed as well as the options available through Aviva, albeit marginally. For these reasons, we would not recommend an internal fund switch, as your main priority is to consolidate your pensions, gain better control over them, and be well-positioned for retirement with all available drawdown options.
- **Enhanced Retirement Flexibility** – The receiving scheme provides more flexible retirement options, ensuring you can access your pension savings in a way that best suits your needs, including tax-efficient withdrawal strategies.
- **Adviser Charging Facilitation** – The new scheme allows adviser charges to be deducted directly, ensuring ongoing financial planning support without the need for separate payments. This makes it easier to manage your retirement strategy effectively.
- **Ongoing Monitoring and Adjustments** – By moving to the recommended scheme, I will have the ability to actively monitor and adjust your investments as required, helping to ensure they remain aligned with your changing needs and market conditions.

By switching to this scheme, you will benefit from, greater investment flexibility, improved retirement options, and continued professional oversight, ensuring your pension remains on track to support your long-term financial goals.

EXISTING SCHEME	ADVICE
Standard Life – D2301334000	Switch to Aviva Platform

Following a detailed review of your current pension arrangement, I recommend switching to a new scheme that better aligns with your financial objectives and long-term retirement planning. This switch is in your best interests for the following reasons:

- **Lower Costs** – The receiving scheme has a lower overall cost structure compared to your existing pension, meaning more of your savings remain invested for growth rather than being lost to charges. The plan itself is 0.08% more expensive than the recommended solution
- **Lifestyling** – Your funds are currently invested in lifestyling funds, which automatically reduce investment risk as you approach retirement. As a result, your portfolio will eventually move outside of your agreed risk range. We would not recommend remaining invested in these types of funds.
- **Greater Investment Choice** – The new scheme offers access to a wider range of investment options, allowing for a more tailored investment strategy that better suits your risk profile and retirement goals, and allowing greater choice should your risk profile change in the future.
- **Enhanced Retirement Flexibility** – The receiving scheme provides more flexible retirement options, ensuring you can access your pension savings in a way that best suits your needs, including tax-efficient withdrawal strategies.
- **Adviser Charging Facilitation** – The new scheme allows adviser charges to be deducted directly, ensuring ongoing financial planning support without the need for separate payments. This makes it easier to manage your retirement strategy effectively.
- **Ongoing Monitoring and Adjustments** – By moving to the recommended scheme, I will have the ability to actively monitor and adjust your investments as required, helping to ensure they remain aligned with your changing needs and market conditions.

By switching to this scheme, you will benefit from lower costs, greater investment flexibility, improved retirement options, and continued professional oversight, ensuring your pension remains on track to support your long-term financial goals.

Other Considerations of Switching

You should note that whilst the transactions are pending, there could be movements within the stock-market; that is to say that the stock-market could rise or fall in value. If the market rises in value between the date of realising your existing funds and the purchase of your new (funds), you could be financially disadvantaged insofar as the cost of buying your new fund could be greater. Conversely, if there is a fall in the market between the date of realising your existing funds and the purchase of your new funds, you could be financially advantaged insofar as the cost of buying your new funds could be lower.

Should you require access to these funds in the future it will usually take 10-15 working days for administration, disinvestment and banking processes to complete. You are comfortable with the concept as you have liquid cash should you require instance access funds.

There is no guarantee the return on the new investment will be greater than that of your existing arrangement for these funds.

All other risks associated with this investment are detailed in the product literature provided to you. You should read this document carefully.

Recommended Solution

New Plan	Total Transfer Value	Regular Contributions
Aviva Pension Portfolio	£110,185	£0

I have recommended a Personal Pension for the following reasons:

- It is the most suitable solution given your circumstances and retirement objectives.
- It provides an extremely tax-efficient way of building up a retirement fund.
- You can vary your regular contributions or make one-off payments as required. Personal contributions to the pension benefit from valuable tax relief; for example, a net contribution of £80 effectively becomes £100 gross in your pension.
- Regular reviews will ensure that your pension continues to reflect your risk tolerance and performance expectations, although performance cannot be guaranteed. Underlying funds can be adjusted to suit changes in your personal circumstances.
- You can draw benefits from your pension fund in a number of different ways from age 55 (rising to 57 from 6 April 2028). However, you should always take advice beforehand to ensure you are taking benefits in the most tax efficient way possible.
- You understand the pension freedoms and prefer the flexibility of entering Flexi Access Drawdown when you access your pension, allowing you control over how and when benefits are taken. The pension provider will be selected to ensure seamless conversion to Flexi Access Drawdown when you decide to draw benefits.
- Should you die before age 75, the nominated beneficiaries can receive a lump sum, drawdown an income or purchase a dependents annuity. All these options are paid free of tax. Where you die after the age of 75, the same options are available, but tax is paid at the beneficiary's marginal rate of tax.
- Pensions are currently outside of your estate for IHT purposes, however from 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits.

Why this provider has been recommended

A platform is a service that allows you to hold one or a number of different investment vehicles under one roof. It also has access to a significant number of investment funds from different fund managers to allow the creation of a diversified portfolio with the ability to switch funds at any time. It also provides the facility to obtain up-to-date valuations on all your investments whenever required.

I have recommended Aviva platform because it offers these benefits alongside financial strength and experience as a leading investments provider. They have a proven track record of excellent customer service, with competitive and transparent charges, ensuring you receive good value while effectively managing your investments.

Key Benefits:

- Financial strength – Aviva is rated A (Stable) by S&P, with £407bn AUM (31 Dec 2024).
- Choice – Over 6,900 funds and leading managers, across ISAs, pensions, and GIAs.
- Expertise – Aviva Investors manages award-winning strategies across asset classes, plus access to private markets (equity, infrastructure, real estate).
- Value – Transparent, competitive charges with potential tiered pricing.
- Convenience – Online tools for viewing performance, switching funds, and accessing documents.
- Governance – Strong regulatory oversight and risk management.
- Innovation – Ongoing digital investment and enhanced cash management tools.

Summary of Plan Charges

Annual recurring charges

Plan	Platform	Investment Management	Total Charge
Aviva Platform Personal Pension	0.21%	0.22%	0.44%
	£231.39	£253.43	£484.81

Your personal illustration contains further information regarding the cumulative effect the charges will have on your investment returns. The charge in monetary terms shown here may differ from the illustration due to differences in calculation methods.

The charge in monetary terms is an estimate based on the amount being invested into the plan, plus one year of contributions. The annual recurring charges assume no investment growth. In reality, the underlying investments will fluctuate daily, and this makes it impossible to accurately predict the actual monetary charges that will be incurred in the future.

The charges quoted in this report exclude the transaction costs of the underlying funds, as these are variable and subject to change based on factors such as market conditions and trading activity. Transaction costs are not fees paid to the asset manager; instead, they include expenses like broker commissions, taxes, and the cost of executing trades. Despite their variability, these costs are already accounted for in the fund's performance figures, which are presented net of all charges. This provides a clear and accurate reflection of the investment's returns after all costs have been considered.

Pension Switch Charges Only Assessment

The table below shows the difference in the total recurring annual charges of the existing plan and the alternative plan that has been recommended to replace it in both percentage and monetary terms. The difference in monetary terms is based on the current fund value of the existing plan, as highlighted in the earlier review section.

Plan	Current Annual Recurring Charge of Existing Plan		Impact of Recommended Alternative	
Aviva	0.50%	£18.72	-0.06%	-£2.25
Zurich	0.93%	£961.98	-0.49%	-£506.85
Standard Life	0.18%	£186.19	0.26%	£268.94

Like for Like

Based on information supplied by your existing providers, our calculations show that the Aviva plan is 0.24% less expensive than your current plans. This means that your proposed plan can underperform your current plan by £264 in the first year (in monetary terms).

Including Adviser Fee

As we have agreed to be remunerated via the policy (initial and ongoing), our calculations showed that the Aviva plan is 4.24% more expensive than your current plans. This means that your proposed plan will need to outperform your current plan by £4,672 in the first year (in monetary terms).

I have also assessed the impact of our charges upon transferring and over time. This is called the Critical Yield and can be found in the Appendix of this report.

Based on a mid-growth rate of 2.94%, including our advice fees, the recommended plan would need to grow by 4.8% per year up to age 75 in order to meet the same value as your current plan. Based on the past performance of your recommended funds, I do believe that this is achievable.

Fund recommendation

In addition to your attitude to investment risk and capacity for loss, I have also considered your investment objectives as well as your knowledge and experience, and the length of time you wish to invest for. Having taken account of all these factors, I have recommended the following investment strategy.

Investment Fund	Allocation	Risk Rating	Annual Charge
HSBC Global Strategy Balanced Portfolio C Acc	50%	5	0.18%
CT Universal MAP Balanced C	50%	5	0.29%
Total	100%		

Please refer to the enclosed illustration for a full breakdown of the recommended portfolio.

This will ensure you have a diversified investment portfolio based on your retirement objectives in isolation as you requested and one which is in line with your stated attitude to investment risk. Details of these funds are contained in the product literature.

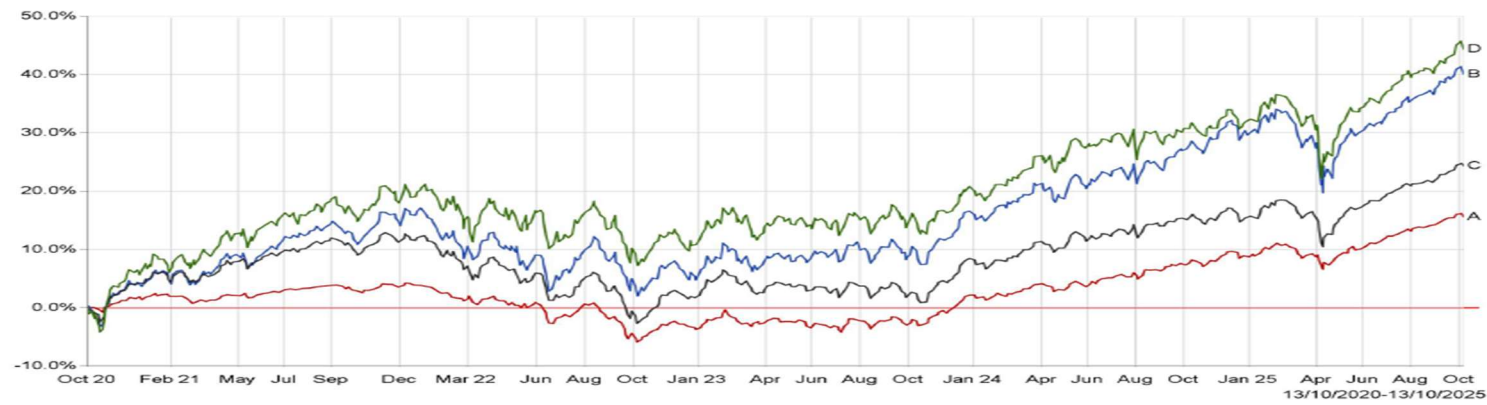
- The funds reflect your risk profile both individually and combined. This means that should there be any portfolio drift, the risk being taken remains the same.
- It provides exposure to a range of asset classes and market sectors resulting in greater diversification and reduced risk.
- It provides a blend of active and passive investments, which allows for some active management, whilst keeping costs low.
- You want to keep the investment strategy of your pension fairly simple.
- The charges are competitive.
- The funds have performed well in comparison with their peers.
- The funds are part of our CIP (Centralised Investment Proposition). This is regularly reviewed by a quarterly investment committee. We also utilise a leading external research team to ensure regular monitoring and oversight of our recommended funds.
- We have recommended a multi-asset fund because it provides a professionally managed, diversified investment solution that aligns with your financial goals and risk profile. These funds are risk-profiled solutions, meaning they are specifically designed to remain within your agreed level of risk, ensuring your investments stay aligned with your preferences. These funds combine the growth potential of equities with the potentially uncorrelated returns of other asset classes, such as bonds, property and absolute return. By investing across a range of asset classes, the fund reduces the risk associated with market volatility while offering the potential for steady growth or income, depending on your needs. Managed by experts who regularly adjust the portfolio to maintain suitability, this option offers simplicity, cost-efficiency, and flexibility as your circumstances evolve, making it a balanced and reliable choice for achieving your long-term financial plans.

You should remember that unit prices and the value of your pension fund can fall as well as rise and there is no guarantee you will receive a return of your original capital, especially in the early years or if you choose to take an income from it. Past performance is no guarantee of future returns.

A switch between pension providers does not guarantee a greater pension fund at retirement and there is no guarantee that the new provider's funds will outperform those of your existing provider.

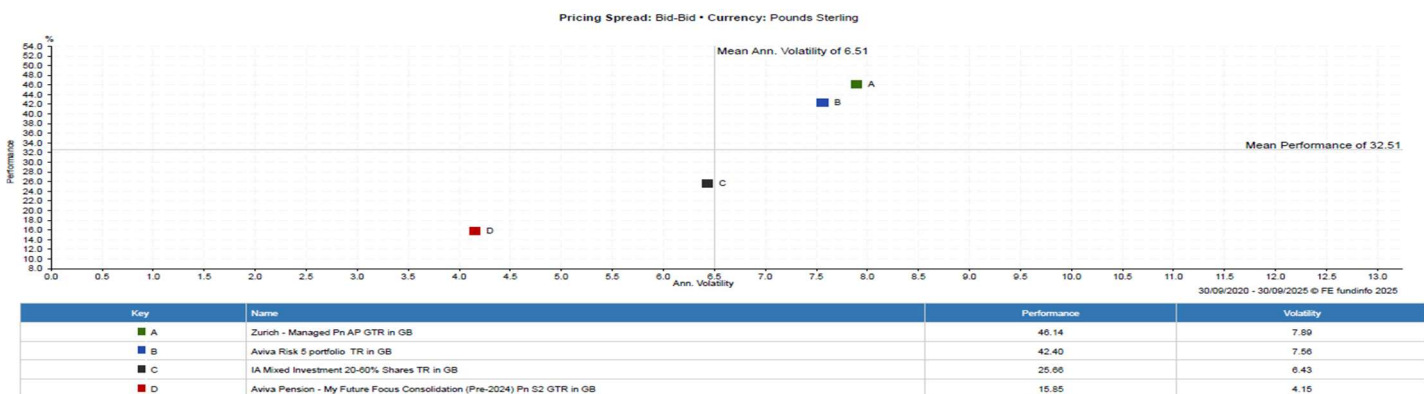
Performance Assessment

The below chart and table show a performance analysis of your existing plans (A – Aviva / D – Zurich) against the recommended funds (B – Aviva) over a 5-year period. I have also included the benchmark for your risk profile (C).



Cumulative Performance (%)		Cumulative Performance as at 13/10/2025*						
Instrument	Currency	3m	6m	1y	3yrs	5yrs	13/10/2020 to 13/10/2025	
A ■ Aviva Pension - My Future Focus Consolidation (Pre-2024) Pn S2 GTR in GB	GBX	2.77	7.74	7.46	22.89	15.58	15.58	
B ■ Aviva Risk 5 portfolio TR in GB	GBP	4.74	14.31	9.99	37.25	40.02	40.02	
C ■ IA Mixed Investment 20-60% Shares TR in GB	GBP	3.69	11.16	7.98	28.05	24.32	24.32	
D ■ Zurich - Managed Pn AP GTR in GB	GBX	4.73	15.41	10.62	34.56	44.32	44.32	

The below chart and table show a volatility analysis of your existing plans (D – Aviva / A – Zurich) against the recommended funds (B – Aviva) over a 5-year period. I have also included the benchmark for your risk profile (C).



The recommended Aviva advised funds have demonstrated stronger performance compared to your existing Aviva holdings. However, they have not outperformed your current Zurich funds. It’s important to note that your Zurich investments are allocated to higher-risk funds, which are more susceptible to market volatility, resulting in greater fluctuations in value. In contrast, the Aviva platform funds selected for you align with your agreed risk tolerance and have delivered comparable performance with reduced volatility.

Unfortunately, we are unable to provide performance data for your Standard Life funds, as this information is not available within our system. For reference, a screenshot of their performance has been included below, taken directly from there systems.

Fund name	Cumulative Performance (%) ?					
	Since Launch	Year to Date	1 Yr	3 Yr	5 Yr	10 Yr
SL At Retirement Universal (PP 10 Year) Pension Fd	46.58	7.84	8.62	30.67	24.56	45.62

Past performance is not a guarantee of future returns.

Cashflow Analysis

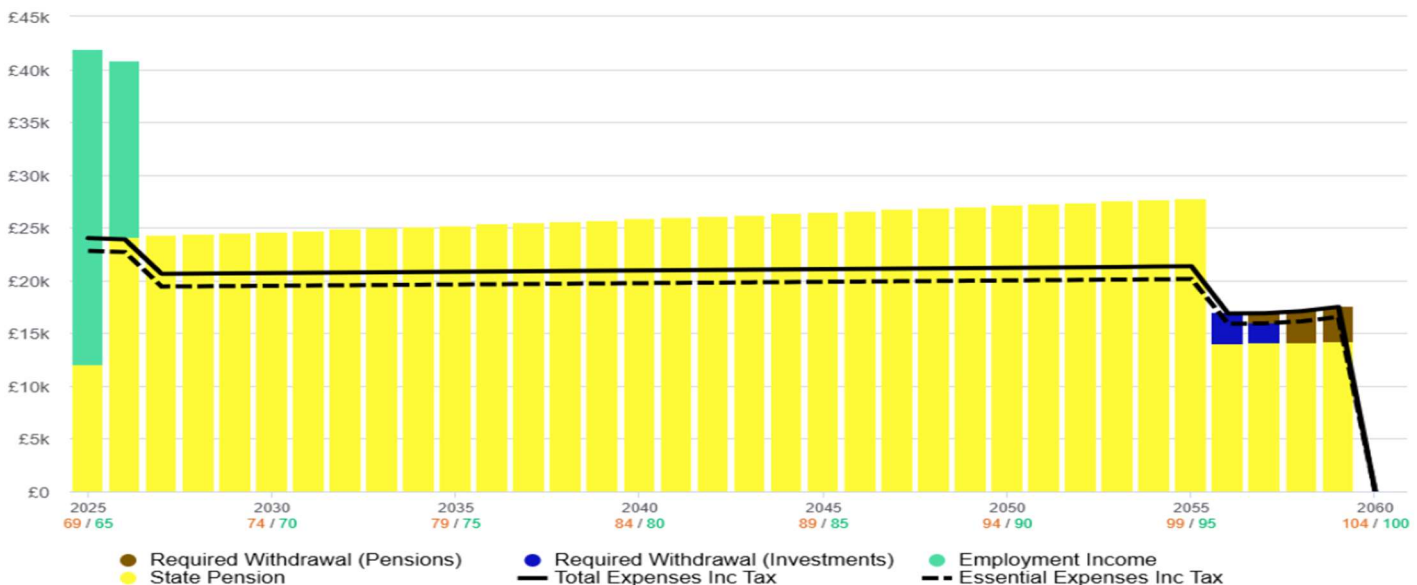
I have used a cashflow modeller to create a graphical representation of your assets, investments, debts, income and expenditure. I have projected these forward, year-on-year, to assess the likelihood of you being able to achieve your objectives. A summary of the key scenarios I have modelled to help develop my recommendations are included below.

We have input the following information into the cashflow modeller to generate the charts below:

- You receive £300 per week as an HGV driver
- You receive £20 per week helping out the sea cadets on a weekend
- [REDACTED] receives £1,100 per month
- You receive state pension income of £11,973 per annum
- [REDACTED] will receive state pension income of £11,973 per annum from age 67.
- The forecast incorporates the assets of your main residence and cash holdings that you have. These have been modelled with the projected growth rates included in the appendix of this report.
- In retirement, you expect your annual expenditure to be approximately £1,700
- I have included the following investments:
 - Aviva transfer - £3,744
 - Zurich transfer - £103,439
 - Standard Life - £3,002
- The cashflow runs until you reach age 100 and assumes all surplus income throughout your lifetime is spent, rather than saved.

Any input information is based on the assumptions detailed at the end of this report.

Income and expenditure



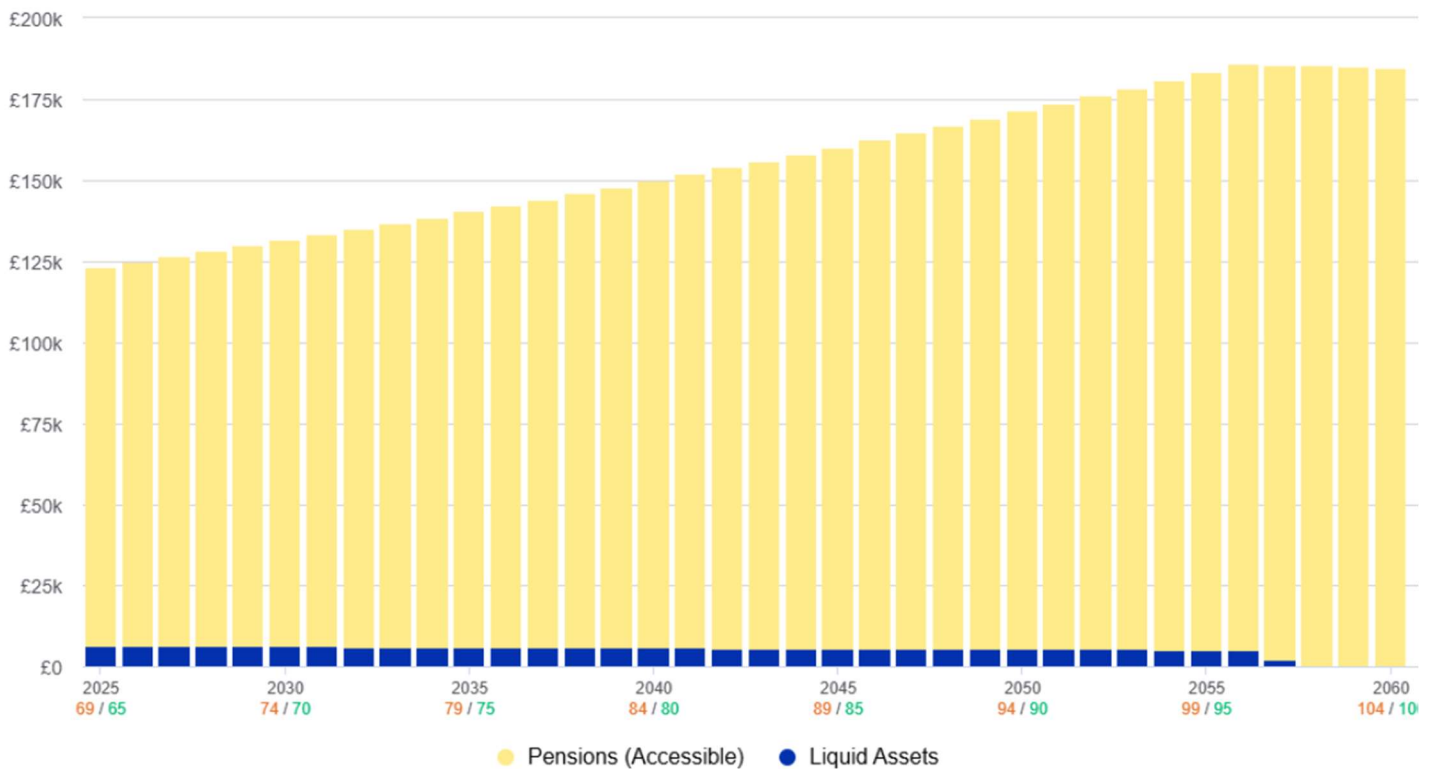
The chart above displays a bar for each year of your life, up to age 100, showing your household income. Each income source is represented by a different colour. Your total expenditure, including tax and National Insurance, is shown by the solid black line running across the bars.

Where income is insufficient to cover your expenditure, the modeller assumes that you will draw from your liquid assets. This is represented by the blue shading in the chart.

If at any point there were insufficient liquid assets or accessible pensions to meet your expenditure, this would be shown by red bars on the chart. In this case, based on the current assumptions, no shortfall is projected throughout your lifetime.

There are no issues with your cash flow forecast.

Current Total Assets



Your state pension income will cover your bills in retirement. Meaning your pension will be allowed to keep growing for large ad hoc spends.

Alternative Scenarios & Stress Tests

- With the recent cost of living crisis and inflation rates increasing above the government's target rate for inflation (2%), I also conducted a stress test based on a high inflation rate of 6%. The cashflow shows that should this high level of inflation continue at the assumed rate, there would be no shortfall that requires your pension or investment funds to be used.
- I have completed a stress test based on if an immediate market crash were to occur in combination with the increased inflation level. This showed that if your plan sustained an immediate loss of -30% and the increased inflation continued, there would be no shortfall that requires your pension or investment funds to be used.
- The Office of National Statistics Life Expectancy for a 69-year-old male is age 86. Therefore, based on these statistics, your funds would be expected to last throughout your lifetime.
- The Office of National Statistics Life Expectancy for a 65-year-old female is age 88. Therefore, based on these statistics, your funds would be expected to last throughout your lifetime.

It is important to understand that the above charts are projections based on certain assumptions, and even a small variance between the assumptions used and actual experience can result in a marked difference in the outcome when compounded over a long period of time. Please also note that the chart does not consider any potential long-term care costs which could occur in later life.

Alternative Solutions

Stakeholder pensions have been designed to offer low charges (i.e. a maximum total charge of 1.5% per annum for the first 10 years then 1% thereafter). These have a low minimum contribution level and do not penalise policyholders if they need to stop payment contributions or move their funds to another provider.

In your case however, I am recommending a plan which is not a stakeholder pension plan as this is more suitable for your circumstances because the solution is more cost effective than a typical stakeholder pension. Stakeholder pensions also typically do not allow for flexible access and have limited fund ranges.

Nominations and death benefits

I recommend that you complete the nomination of beneficiaries' form that will be provided to you after the transfer process is begun.

This will allow you nominate who you wish to benefit from your funds on passing. It will also allow you to designate an amount of your funds to several people.

All payments will be subject to Aviva's discretion. Where your nominees withdraw from the proceeds it will be tax free should you die before age 75. Where your death occurs on or after age 75 those payments will be subject to the nominee's marginal rate of tax.

Cancellation notice

You have a legal right to change your mind and cancel your plan. Once your plan is set up you will be sent a cancellation notice. You have 30 days to review and consider your options. You should check the provider literature to confirm the date this period commences as well as any charges that may apply following cancellation. If your investment falls in value before your cancellation notice is received, an amount equal to the fall in value will be deducted.

However, please be aware the cancellation notice includes a provision that any previous provider is not obliged to take the plan back.

Tax Treatment and Law

All statements concerning the tax treatment of products and their benefits are based on our understanding of current tax law and HMRC practice. Levels and basis of tax relief are subject to change.

Product literature

This documentation is important and contains information regarding the products which I have recommended, particularly with regards to how the product works, its aims, risks and charges, together with its legal status, tax treatment and your cancellation rights. Therefore, please ensure you have read these documents carefully. If there are any points on which you are unsure, or require further clarification, please contact me and I will be pleased to explain these in greater detail.

Our charges

For researching, recommending and arranging these investments, we charge an initial advice fee of 3% of the amount invested as per the terms stated in our Client Agreement. In monetary terms this is £3,305.55 with current transfer values, this figure may fluctuate depending on transfer values. This will be paid directly by the pension schemes on transfer.

Future contact and ongoing services

We believe it is important to review your investment strategy at regular intervals to ensure it continues to meet your aims and objectives. Our Client Agreement sets out the service my company will provide to you and its likely cost. The benefits of our ongoing service include;

- Reviewing your attitude to risk and capacity for loss to ensure your investment portfolio remains suitable for you.
- Reviewing the ongoing suitability of your investment portfolio.
- Market updates and updates with any changes in financial legislation.
- Access to a professional, experienced and qualified team of financial advisers at any time to provide ad-hoc advice as required.
- Access to full holistic financial planning to suit your needs.

The costs for this service are 1% per annum. Based on current values & expected contributions, minus the initial fee, this would be equal to circa £1,101.85 for the first year. This will vary in line with your fund value. This fee will be paid via the Aviva Platform pension scheme as you prefer to pay via your provider rather than directly.

Wills

You have confirmed you have a valid Will in place and from our discussions it would appear to meet your financial planning objectives. You should always review this whenever your circumstances change.

Power of attorney

It would also be prudent to set up and register Power of Attorney for your financial affairs / health and welfare, to ensure that in the event of your incapacity, your spouse or relative could act on your behalf.

Conclusion

I trust that this letter provides an accurate summary of our discussions, however, should you have any concerns or wish to discuss any of the issues raised in more detail please do not hesitate to contact me.

We strive to provide you with a first-class professional service and hope that we can continue to be of service to you for many years to come. Should you require advice at any time with regard to any aspect of your financial planning, please do not hesitate to contact me and I shall be pleased to assist.

Yours sincerely



██████████ and BSc (Hons) DipPFS Cert CII
Financial Adviser
TFAS Wealth LTD

Appendix

Critical Yield

Initial adviser charge of £3,305 which is taken from the new solution, reducing the initial investment accordingly.

An ongoing annual adviser charge of 1.00% which has been considered as part of the new solution projections below.

The following comparison considers the effect of any adviser charges currently being paid on the existing pensions being switched out of and the adviser charges that would become payable on the new solution.

Values shown are in real terms which mean that they have been adjusted to take into account the effect of inflation.

The retirement age used is 75.

	Existing pension	New solution
Low growth rate – (0.00%)		
Projected value at age 75	£108,000	£97,600
Reduction in yield	0.3%	2.1%
Critical yield	–	1.9%
Effect of switching	–	£10,400 or 9.6% decrease
Mid growth rate – (2.95%)		
Projected value at age 75	£127,000	£115,000
Reduction in yield^[1]	0.3%	2.2%
Critical yield^[2]	–	4.8%
Effect of switching^[3]	–	£12,000 or 9.4% decrease
High growth rate – (5.88%)		
Projected value at age 75	£150,000	£135,000
Reduction in yield	0.3%	2.3%
Critical yield	–	7.8%
Effect of switching	–	£15,000 or 10.0% decrease

[1] Reduction in Yield is the impact of product, platform and fund charges on the investment growth rate. For example, if the fund grows due to investment growth by 4% in a year and the reduction in yield is 2.5% the fund growth experienced will be 1.5%.

[2] Critical Yield is the growth rate required from the new solution to match the projected maturity value of the pension solution.

[3] Effect of switching is the change in the maturity value of the new solution assuming the fund experiences the same investment growth.

Cashflow Assumptions

Surplus Income Percentage Saved

0% of any in-year surplus will be saved within the plan – all surplus income is spent.

Inflation Assumptions

The following inflation assumptions are the rates used as standard within the cashflow modeller:

General expenditure 2 %

Savings 2 %

State pensions 2.5 %

Aviva personal pensions 5 %

Personal Pension Plan

A personal pension plan (PPP) is a type of money purchase pension that provides a tax-efficient way for individuals to save for their retirement. PPPs suit a wide range of individuals but are primarily aimed at those who do not have access to a workplace pension.

PPPs are not subject to restrictions on charges and therefore tend to offer a wider range of investment opportunities and options than stakeholder pensions. This flexibility provides greater scope to tailor the pension plan to the individual's needs and circumstances.

Flexi-access Drawdown (FAD)

Flexi-access drawdown provides a flexible and tax-efficient means of drawing benefits from a pension fund. An individual can take up to 25% of the pension fund being crystallised as a tax-free lump sum at outset (subject to the Lump Sum Allowance of £268,275 for people with no form of lifetime allowance protection). The remainder of the fund remains invested within a tax advantaged environment from which the individual can take regular or ad-hoc income withdrawals to suit their needs and circumstances. There is no upper limit to the amount the individual can withdraw as an income. However, each withdrawal is taxed at their marginal rate of Income Tax.

Flexi-access drawdown also provides a tax-efficient way of passing wealth down through the generations as any unused pension fund can usually be passed down to a wide range of beneficiaries free from Inheritance Tax.

Lifetime Allowance

The lifetime allowance 'charge' was removed from 6 April 2023 - the legislation for this was included in the Finance (No.2) Act 2023.

From 6 April 2024, the lifetime allowance has been removed. This doesn't mean there are no limits on the amount of pension savings people can take without a tax charge; the lifetime allowance is being replaced by new allowances.

The lifetime allowance is being replaced with three different allowances:

the lump sum allowance - £268,275

the lump sum and death benefit allowance - £1,073,100

Both of these allowances limit the amount of tax-free benefits that can be paid.

There is also:

the overseas transfer allowance - £1,073,100

A check is made against these allowances when benefits are paid. These allowances may be higher if the individual has lifetime allowance protection. These allowances are reduced if benefits were taken between 6 April 2006 and 5 April 2024. There is no longer any additional test against the investment returns at age 75, as previously.

Annual Allowance

Contributions into the scheme are limited by the annual allowance. The Annual Allowance is currently a maximum of £60,000 per annum 2024/2025. High earners may have a lower annual allowance. There is also the facility to potentially carry forward up to 3 years' worth of unused allowances. You should note that if an individual has flexibly accessed other pension benefits though, their Money Purchase Annual Allowance may be restricted to £10,000 with no Carry Forward allowed. Contributions exceeding the annual allowance would trigger a tailored tax charge of up to 45%. Tax relief on any personal contributions made is limited to £3,600 per annum or 100% of salary if higher.

You have not yet triggered the MPAA, and you do not have a lower annual allowance.

Key Benefits of the CIP Approach

1. Diversification and Risk Management

- The CIP includes a carefully curated selection of funds across different asset classes, regions, and sectors.
- This diversification reduces reliance on a single fund manager or strategy, spreading risk more effectively than a single multi-asset fund.

2. Active Oversight and Governance

- Our CIP is actively monitored and reviewed by an experienced investment committee.
- This ensures that the portfolio remains aligned with market conditions and your risk profile, providing greater adaptability compared to a static multi-asset fund.

3. Cost Efficiency

- The CIP is structured to balance performance and cost, optimising value for your investment.
- While individual multi-asset funds may offer simplicity, the CIP's layered approach can enhance performance without excessive costs.

The CIP aligns with your long-term goals and offers a more robust and flexible framework compared to a single multi-asset fund. It provides enhanced oversight, risk management, and adaptability, ensuring that your investment remains effective as market conditions and personal circumstances evolve.

Investment pathways

Investment pathways were introduced in February 2021 by government legislation. The legislation is designed to ensure that individuals who take benefits from their pension fund via drawdown without taking advice still have access to appropriate investments for their needs and objectives.

There are four investment pathways to cater for four retirement scenarios. The four pathways are:

- Option 1 - I have no plans to touch my money in the next 5 years.
- Option 2 - I plan to use my money to set up a guaranteed income (annuity) within the next 5 years.

- Option 3 - I plan to start taking my money as a long-term income within the next 5 years.
- Option 4 - I plan to take out all my money within the next 5 years.

The provider will offer a single investment solution designed to meet each option. Although investment pathways are aimed at individuals that do not have an adviser, they may still be a valid consideration for you because they may have:

- Potentially lower costs;
- Reduced complexity; and
- Less requirement for ongoing advice.

Why are investment pathways not appropriate for you?

I have considered the investment pathway solution offered by the recommended provider that is most relevant to you. However, I have discounted it because:

- You require a more tailored solution than any of the four generic solutions offered by the provider.
- It does not reflect your individual circumstances, withdrawal requirements and risk profile as accurately as the recommended investment strategy.
- You require an investment solution that will be regularly reviewed and adjusted to reflect any changes in your needs and circumstances as part of our ongoing advice service.
- It has not performed as well as the recommended investment strategy.